

Introduction to Economics

Class 4 — Positive and normative economics; Block 1 wrap-up

Pavel Kocourek

Universitat de Barcelona · Group A6

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slide 1 of 24

Slide 1 Title

Preview version. The full slides and handout are posted after class.
Class 4 closes Block 1. The question of the day: which sentences about the economy can evidence settle, and which cannot? A rent cap in Catalonia runs through the class as the example. The last part puts Classes 1 to 4 on one picture, and project groups form at the break.

Plan for today

Warm-up: Monday's question

A rent cap in Catalonia

Positive and normative

The advisor's job

Break — find your project group

The project; your groups

Why economists disagree

Block 1 in one picture

Before Monday

Slide 2 Plan for today

The class at a glance: a warm-up on Monday's last two sentences; a rent cap in Catalonia and what happened to rents and flats; the two kinds of sentence, positive and normative, with exercises; the advisor's job. After the break: project groups, why economists disagree, and Block 1 on one picture.

Two halves of fifty minutes with a ten-minute break between them.

Warm-up — Monday's question

Monday ended with two sentences. Which of them could data show to be wrong?

- A) "Spain exports olive oil."
- B) "Spain should export more olive oil."
- C) Both
- D) Neither

Slide 3 Warm-up: Monday's question

Monday ended with two sentences about olive oil. Which of them could data show to be wrong? Decide before class, and say what data you would look at, or why no data would do.

Revealed in class.

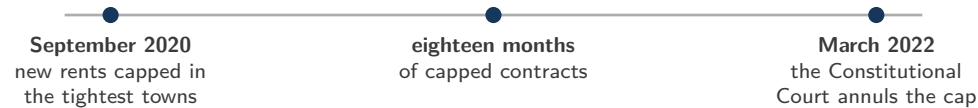
Explaining and advising

Two jobs an economist is asked to do

Slide 4 Explaining and advising

Two jobs an economist is asked to do: explain how the world works, and advise on what to do about it. In the textbook's terms: as scientists, economists explain; as policy advisors, they recommend.

September 2020: Catalonia capped rents. What happened next?



Did rents fall?
Were fewer flats let?
Should the cap have stayed?

Catalonia's Llei 11/2020, in force from September 2020; annulled by the Constitutional Court in March 2022.

Slide 5 September 2020: Catalonia capped rents. What happened next?

September 2020: Catalonia capped new rents in the towns with the tightest housing markets, Barcelona included; a new contract could not exceed a reference price for the area. Eighteen months later the Constitutional Court annulled the law: rent in a private lease is contract law, which is the state's to set, even though housing policy is Catalonia's.

Three questions follow: did rents fall, were fewer flats let, should the cap have stayed? One of the three is different in kind from the other two: nothing can be measured to answer it.

What the studies found

Revealed in class

Before class: for each of the three questions, say what you would measure — and which one has nothing to measure.

Slide 6 What the studies found

Revealed in class.

Beforehand: for each of the three questions on the previous slide, say what you would measure, and which question has nothing to measure. Then think about what else happened in 2020 that a study of the cap would have to separate from it.

Explain, then advise: two kinds of sentence

Positive

the scientist: how things are

- Describes or predicts
- Evidence can confirm or refute it
- Can be false

Normative

the advisor: how things should be

- Recommends
- Rests on values
- No evidence settles it

“Rents fell”: **positive**. “The cap should have stayed”: **normative**.

Slide 7 Explain, then advise: two kinds of sentence

A positive statement describes or predicts how things are; evidence can confirm or refute it, so it can be false. A normative statement says how things should be; it rests on values, and no evidence settles it.

The scientist speaks in the first kind, the advisor in the second, but the advisor needs the first kind to do the job. From the hook: “rents fell” is positive; “the cap should have stayed” is normative.

A positive statement can be false

“Spain has the lowest unemployment in the EU.”

Positive: a claim about the world, and checkable.

And false: in 2025 Spain's rate was the *highest* in the EU (10.5 %).

Testable is not the same as true.

Eurostat, annual unemployment rates 2025: Spain 10.5 %, the highest of the 27 member states.

Slide 8 A positive statement can be false

“Positive” means testable, not true. “Spain has the lowest unemployment in the EU” is a positive claim, checkable against the statistics, and false: in 2025 Spain's rate, 10.5 %, was the highest of the 27 member states.

Positive is not the same as correct, and normative is not the same as wrong. A positive claim can also go out of date, which is why the slide says “in 2025”.

In pairs: positive or normative?

- A Barcelona's metro should be free for students.
- B A rent cap cuts the number of flats for rent.
- C Spain's minimum wage is too low.
- D A 1,500-euro minimum wage would cost 100,000 jobs.
- E It is unfair that rents rise faster than wages.
- F Most economists think tariffs raise prices.

Three minutes. One verdict per pair on each claim — and the word that decided it.

Slide 9 In pairs: positive or normative?

Six claims to sort in pairs before class: positive or normative? For each one, note the word that decided it. Revealed in class.

Beware of going by whether a sentence sounds opinionated. The test is whether evidence could, in principle, show it false.

One sentence, two claims

**“Barcelona should ban tourist flats,
because they push up rents.”**

Slide 10 One sentence, two claims

One sentence from a Barcelona debate. Before class, find the two claims in it and say which kind each one is. Then ask: if the second claim turned out to be false, what would happen to the first? And if it turned out to be true, would the first follow?

Revealed in class.

The advisor's job: take the question apart

“Should Barcelona cap rents?” Write the questions evidence could settle — and the one it cannot.

Four minutes, in pairs. Then we compare.

Slide 11 The advisor's job: take the question apart

Try it in pairs before class: “Should Barcelona cap rents?” Write down the questions evidence could settle, and the one it cannot. Think about what an advisor owes the person asking: which parts of the answer come from evidence, and which part from the advisor's own values.

Revealed in class.

Slide 12 Break

Ten minutes. Use them to find your project group of two or three, and sit together afterwards: the names are taken after the break.

Break

Ten minutes

Find your project group of 2–3. Sit together afterwards.

The project: economics around you

Something you can see for yourself + one idea from the course

good

“Why does the menú del día cost more near Passeig de Gràcia than in Sants?”

too big

“Inflation in Spain”

question

25 %

economics

25 %

evidence

25 %

poster

25 %

20 % of the grade · groups of 2–3 · one A2 poster, one presenter

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Introduction to Economics · Class 4

13

slide 13 of 24

Slide 13 The project: economics around you

The project in one slide: something you can see for yourself, plus one idea from the course. A good question is specific and local, something you noticed yourself, like why the menú del día costs more near Passeig de Gràcia than in Sants; “inflation in Spain” is too big.

Four criteria, 25 % each. The question, as above. The economics: one course idea, explained in your own words; no model to build. The evidence: what you went and looked at, including what you could not find and where the idea did not fit. The poster: one A2 page readable from two metres, and one presenter who can answer questions.

20 % of the grade, groups of two or three. The full brief is on the course page.

Project groups: today

- Groups of 2–3, formed now; names to me
- Monday 5 October: sign up in class for a 6-minute slot
- The day before your slot: your idea in one paragraph, by e-mail
- Idea meetings: Thursday 8 October, after class
- Topic fixed 15 October · poster session 5 November
- Full brief on the course page



course page

Slide 14 Project groups: today

Project groups, formed now: two or three per group, three at most; the names go to me. Then the steps: on Monday 5 October the sign-up sheet goes round in class, one six-minute slot per group; the day before your slot, your idea in one paragraph by e-mail; the idea meetings are on Thursday 8 October, straight after class, and the whole group comes. Topic fixed by 15 October; poster session on 5 November, one presenter per group, the whole group answering questions.

The full brief, with the criteria, is on the course page (QR code): read it before you choose a slot.

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Introduction to Economics · Class 4

14

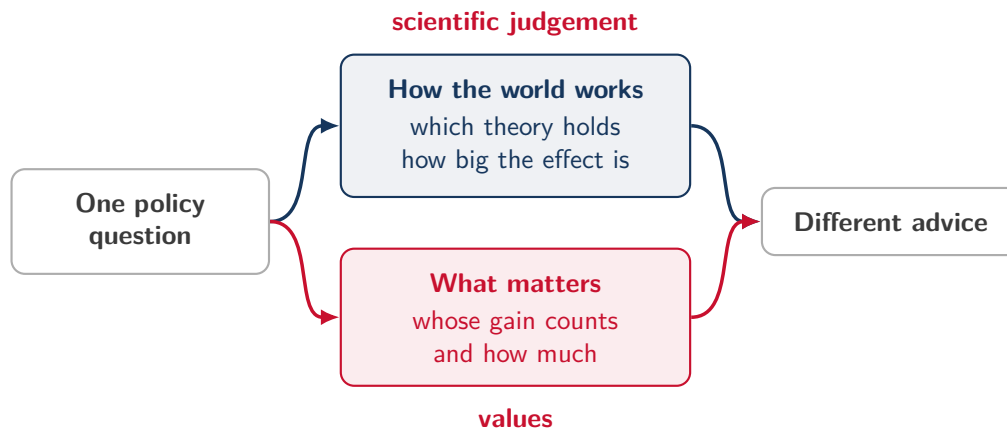
slide 14 of 24

Why economists disagree

Judgement, values — and what the public thinks

slide 15 of 24

Two reasons to disagree



Evidence can settle the first, in time. Nothing settles the second.

One policy question can get different advice for two reasons. Economists may differ in scientific judgement: which theory of how the world works is right, and how big an effect is. Or they may differ in values: whose gain counts, and how much. Either difference produces different advice.

Evidence can settle the first kind, in time; nothing settles the second. When two economists disagree, ask which of the two you are hearing.

Judgement: where careful studies can differ

- Covid hit at the same time: how to separate the two?
- Which towns to compare with
- Which flats: all, or only those above the cap?
- Each choice moves the number

Disputes of this kind are about facts. More evidence can end them.

Slide 17 Judgement: where careful studies can differ

Back to the rent cap. Any study of it has to make judgement calls: how to separate the cap's effect from Covid, which arrived in the same months; which uncapped towns to compare the capped ones with; whether to look at all flats or only those priced above the cap. Each choice moves the number.

Disputes of this kind are about facts, and more evidence can end them. What the studies of the Catalan cap found is revealed in class.

Values: agreed numbers, opposite advice

Suppose the numbers were settled: rents down, some flats gone.

Keep the cap
tenants with a flat pay less

Drop the cap
those still looking find fewer flats

Same numbers. Different weight on the tenant who has a flat and the one who needs one.

Slide 18 Values: agreed numbers, opposite advice

Now suppose the numbers were settled: rents down, some flats gone. Two economists can still give opposite advice, and the two cards show why. Keep the cap: the tenants who have a flat pay less. Drop the cap: those still looking find fewer flats.

Same numbers, different weight on the tenant who has a flat and the one who needs one. No study can end this disagreement: it is about values, and it is a legitimate one.

What a panel of economists says

Revealed in class

Before class: write down your guess of the share of leading US economists who agree that rent caps have improved the supply of affordable housing — and the share who agree that freer trade's gains far exceed its job effects.

Slide 19 What a panel of economists says

Revealed in class.

Beforehand: write down your two guesses, then ask yourself how far the general public's answer would be from the economists' on questions like these.

In pairs: judgement or values?

- 1 “A 5-euro tourist tax cuts visitors by 2 %.” — “No, by 10 %.”
- 2 “Fewer tourists are worth the lost jobs.” — “No, they are not.”
- 3 “Capped landlords will sell up.” — “No: where else would the money go?”

Two minutes. Which disputes could a study end?

Slide 20 In pairs: judgement or values?

Try it in pairs before class: three disputes, each with two sides. Which of them could a study end, and which could not? Use the two reasons from slide 16: for each dispute, ask which of the two it is.

Revealed in class.

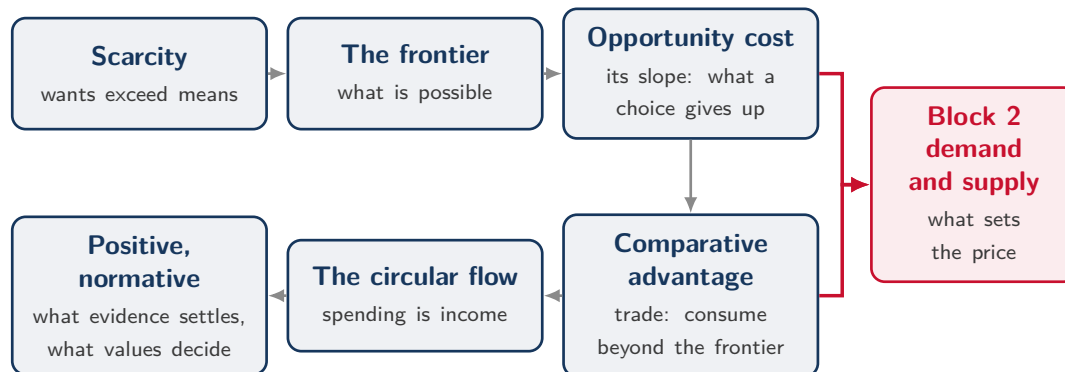
Block 1 in one picture: Classes 1 to 4, and where Block 2 starts.

Block 1 in one picture

Classes 1 to 4, and where Block 2 starts

slide 21 of 24

What is possible, what it costs, and what we may say about it



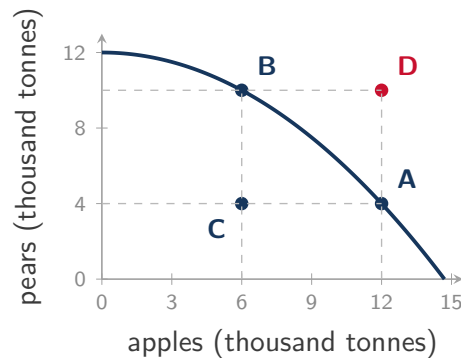
Classes 1–4: what is possible and what it costs. Monday: what sets the price.

Slide 22 What is possible, what it costs, and what we may say about it

Scarcity: wants exceed means (Class 1). The frontier draws what is possible with the resources we have, and its slope is the opportunity cost of a choice, what you give up (Classes 2 and 3). Comparative advantage, the lower opportunity cost, lets trade move consumption beyond the frontier; the circular flow says that what is spent is someone's income (Class 3). Positive and normative, that is, what evidence settles and what values decide (today).

Everything so far is about what is possible and what it costs. Block 2, from Monday, is about what sets the price; the two red arrows say why: the price a market sets is where opportunity costs meet.

In pairs: one island, one frontier, five claims



- 1 D cannot be produced this year.
- 2 The island should produce at B, not A.
- 3 At C, the island could grow more of both.
- 4 A to B costs 3,000 tonnes of apples.
- 5 With trade, it can consume beyond the frontier.

Four minutes. Positive or normative? If positive: does the graph make it true or false?

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Introduction to Economics · Class 4

23

slide 23 of 24

Slide 23 In pairs: one island, one frontier, five claims

Try it in pairs before class: five claims about one island. For each, is it positive or normative? If positive, does the graph make it true or false? Read the numbers off the axes for claim 4, and remember Monday's trade example for claim 5.

Revealed in class.

Before Monday 5 October

- Read Mankiw & Taylor, Ch. 3, pp. 33–44 — the competitive market, demand, shifts versus movements, supply
- Practise Block 1 in Sextant: the units for Classes 2 and 3
- Project: the sign-up sheet goes round on Monday; the full brief is on the course page
- Monday 5 October — Block 2 begins: demand and supply



pkocourek@ub.edu · pkocourek.com/teaching/intro-economics · pkocourek.com/sextant

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Introduction to Economics · Class 4

24

slide 24 of 24

Slide 24 Before Monday 5 October

Before Monday: read Mankiw & Taylor chapter 3, pages 33 to 44, on the competitive market, demand, shifts versus movements along a curve, and supply. Practise Block 1 in Sextant with the units for Classes 2 and 3; Block 1 returns in Midterm 1. Project: the sign-up sheet goes round on Monday; the full brief is on the course page.

Monday, Block 2 begins: demand and supply.

pkocourek.com/teaching/intro-economics · pkocourek@ub.edu